20 Oct 2026 11:42:22 ET | 11 pages

SICC (688234.SS)

Quick Take - 3Q26 Rev and Margin Recovery Continued

CITI'S TAKE

SICC released 3Q26 results on 20th Oct. 3Q26 rev reported record Rmb646mn (+18% QoQ), with GPM of 27.5% (+2.1pts QoQ, +6.9pts YoY), back to the 4Q24 level. OP jumped by 78.5% QoQ to a record Rmb80mn, with OPEX ratio narrowing to 15.1% (-2.1pts QoQ, -18.5pts YoY) on the scale expansion. NP came in at a record Rmb83mn despite Rmb30mn FV changes loss. Co. indicates that 8" revenue contribution in 3Q26 exceeds 50%. Our industry check indicates that SiC substrate price has been stable to an upward trend in 3Q26, and SiC modules demand continues to grow. As such, we believe SiCC will benefit from industry-wide SiC adoption acceleration and its leading position in the 8" and 12" substrate.

Sell / High Risk	
Price (20 Oct 26 15:00)	Rmb98.120
Target price	Rmb43.000
Expected share price return	-56.2%
Expected dividend yield	0.0%
Expected total return	-56.2%
Market Cap	Rmb42,163M
	US$6,311M

Karen Huang[AC]
+852-2501-2755
karen.xw.huang@citi.com

Kyna Wong
+852-2868-7820
kyna.wong@citi.com

Kevin Chen
+852-2501-2125
kevin.y.chen@citi.com

Figure 1. SICC 3Q26 results

	3Q26			2Q26		3Q25		BBG Consensus	
Rmb m	Reported	Citi Est.	Diff%	Actual	QoQ	Actual	YoY	3Q26	Diff%
Revenue	646	336	92%	548	18%	318	103%	707	-9%
Gross profit	177	69	159%	139	28%	66	171%	204	-13%
OPEX	(98)	(109)	-11%	(94)	3%	(107)	-9%	(129)	-24%
Operating profit	80	(41)	-294%	45	79%	(42)	-292%	75	6%
Pre-tax profit	91	(27)	-431%	11	762%	(3)	-3320%	64	41%
Net profit	83	(25)	-435%	1	7091%	(10)	-949%	20	314%
EPS (Rmb)	0.18	(0.05)	-447%	0.00	4434%	(0.02)	-979%	0.07	172%
Ratio									
Gross margin	27.5%	20.4%	7.1pp	25.4%	2.1pp	20.6%	6.9pp	28.9%	-1.5pp
OPEX to Sales ratio	15.1%	32.5%	-17.4pp	17.2%	-2.1pp	33.6%	-18.5pp	18.3%	-3.2pp
Operating margin	12.3%	-12.2%	24.5pp	8.1%	4.2pp	-13.0%	25.4pp	10.6%	1.7pp
Net margin	12.8%	-7.4%	20.2pp	0.2%	12.6pp	-3.1%	15.9pp	2.8%	10.0pp

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Source: Citi Research, Company Reports, Bloomberg

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Bull/Bear: SICC

Rmb 125.000	Rmb 43.000	Rmb 19.000
▲27% Upside	▼56% Downside	▼81% Downside



Spread 108pp
Current Price and expected returns (upside/downside) as of 20 Oct 2026

BULL Assumptions

- Peak P/S of 45.8x on 2026 sales

BASE Assumptions

- 3-yr average P/S of 15.8x on 2026 sales

BEAR Assumptions

- 3-yr trough P/S of 7.0x on 2026 sales

SICC

Valuation

We value the SICC stock at Rmb43.00, based on 3-yr average P/S of 15.8x on 2026E sales. We adopt a P/S valuation methodology as we expect SiCC's earnings and free cash flow to be unstable in the coming years amid competition.

Risks

We rate the SICC stock High Risk to reflect our oversupply concerns and given that the company has yet to turn profitable. Key upside risks to our target price and rating include: 1) an acceleration in xEV sales; 2) faster-than-expected SiC penetration; 3) easing competition/oversupply; and 4) faster technology upgrades.

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Appendix A-1

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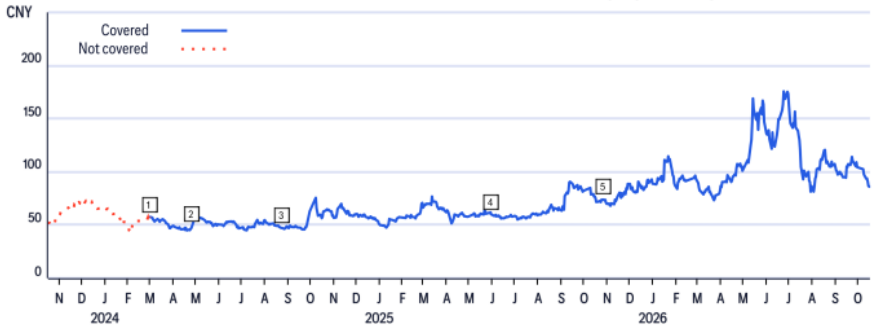
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SICC (688234.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Karen Huang



	Date	Rating	Target Price	Closing Price
1	01-Mar-24 02:45:56	*3H	*37.00	57.56
2	28-Apr-24 23:22:58	3H	*39.00	49.06
3	25-Aug-24 19:29:45	3H	*40.00	47.25
4	30-May-25 06:11:00	3H	*39.00	60.00
5	27-Oct-25 09:35:37	3H	*43.00	73.86

*Indicates Change

Rating/target price changes above reflect Eastern Time

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